to see that some of the difficulties now visible in the working of (say) the CBI are also grounded in the same problem of extreme executive discretion.

When we think about ‘what is hard’ in state building, it is clear that high-quality discretionary decisions are difficult. To the extent that processes can eliminate discretion, that makes things easier. But there is no avoiding discretion in the working of any state. Some of the most important things that states do involve seeing the world, forming a judgement and making a discretionary decision. This is a recurring theme across the criminal justice system, the judiciary, the tax system and financial regulation. State building requires achieving good discretionary decisions. A state that cannot exercise discretion is an ineffectual one.

In the Indian debate, incumbent officials who are used to high discretion are vocal in criticizing reforms proposals which establish due process, and simultaneously complain about the death of discretion. We must see that the old ways are untenable: India has reached a point in its trajectory where the executive discretion that was normal and acceptable from the 1970s to the 1990s is now seen as illegitimate and will run into trouble.

For example, the TRAI regulation on dropped calls was struck down by the Supreme Court in 2016 on the grounds that TRAI’s process for regulation-making was not adequately transparent. [4] Such a decision would probably not have emanated from the Supreme Court in previous decades.

The way forward is to find the middle road, of well-defined processes that govern the legislative, executive and judicial functions in all elements of the state. It is only when these processes are sound that officials will be able to have a certain kind of controlled discretion, which is simultaneously surrounded by checks and balances so as to achieve legitimacy and auditability. Formal processes, embedded in the law, are the prerequisites for wielding discretion, which is the prerequisite for state capacity.